

General Notes:

Have patience and discipline

20+ hours of research minimum to get certainty about a company

Only have to have an opinion on a few things

Sell greed → buy fear

Events:

Generally sales and income go down for a bit, cash gets hit a little later

Try to stay out of banks, pharmaceuticals, airlines, china, tech, financial institutions, holding companies, and healthcare

Avoid companies that are huge acquisition monsters. How many and how often does this company make acquisitions?

It's better to be a copycat than to be an innovator

Try to find companies that have been around for a long time. How old is this company?

Event driven investing → are these events fixable within 3 years? Is there a new CEO? Does the CEO have a definite plan to fix the event?

Tranch typically four-ish times to get in @ MOS price

- First tranche is the smallest
- Sell ROP in a zone ~20% within on sale price from fair valuation
- Be patient, you might have to wait awhile after the event to see a turnaround...like years.
- It is not uncommon to take paper losses for months at a time

Types of Events:

- Whole market crash → best kind because it does not have to do with the intrinsic business itself
- Industry problem → also think about what companies will benefit from one industry's decline
- Company problem → usually management screws up
 - Hardest of the three events to figure out

Will the company be worth more in 10 years? → if uncertain, then sell

Reduction of basis:

1. Selling ROP
2. Selling ROC
3. Tranching in
4. Selling shares @ sticker or above
5. Dividends
6. Stock buybacks

Tell tale sign of the end of a bull market is when new common stock offerings are started at prices higher than most common, medium-sized, already existing companies

When to sell:

- Price reached stiker or above (business becomes massively overpriced)
- Moat is breached if business becomes unpredictable
- If management loses their touch:
 - Debt starts rising uncontrollably
 - ROIC starts declining
 - ROE starts declining
 - CEO isn't sharing complete story with the shareholders

Stay away from IPOs (it's probably overpriced)

Look for companies that are selling at a bargain

Its okay to put all your eggs in one basket as long as you monitor that basket like a hawk. Be okay changing baskets when the world around you changes - nothing lasts forever

NEVER BUY A STOCK SIMPLY BECAUSE IT GOES UP AND NEVER SELL SIMPLY BECAUSE IT GOES DOWN

A true investor is free to disregard the current market price of their holdings unless he is to act upon it only to sell in a bull market and buy in a bear market. A bull market is identified by:

- Historically high price levels
- High P/E ratios (check shiller P/E for this)
- Low dividend yields against bond yields
- Much speculation on margin
- Many IPOs of poor quality and high valuations

Compare company's number with the S&P

Factors of a good decision:

- Well calibrated confidence
- Correctly anticipated regret

RULE 1 GURUS: David Einhorn, Julian Robertson, Bruce Berkowitz, Seth Klarman, Lou Simpson, Warren Buffett, Mohnish Pabrai, Prem Watson, Li Lu

Good, reputable financial sites to research:

- Forbes
- Business week
- Wsj.com
- Seeking alpha
- The economist
- Motley fool money
- Zachs.com
- Valueinvestorsclub.com
- Bloomberg
- Cnbc

- Marketwatch.com
- Earningscast.com for conference calls
- Google trade journals
- Youtube for articles/videos on management
- Gurufocus.com for articles

Know which reports affect your company stock, and plan trades accordingly.

Types of reports that have influence on the stock market as whole: (the impact of the report is generally proportional to how much the figures differed from expectations)

- CPI monthly report
- Producer price index report
- Unemployment report
- Retail sales
- Export and import prices
- GDP
- Industrial production
- Fed interest rates

Checklist:

- The business is owned by 4% of portfolio or more by a Guru investor I like
- The industry is in 2 out of 3 of my circles of competence
- I know this industry or I'm excited to become an expert on it
- I can describe how the business makes money in a simple sentence
- I can describe the top three competitors and the secret sauce for making money in one sentence
- The business is in the top of the industry by owner earnings and free cash flow
- I know the core customer of the business (preferable its me!)
- I know what problem this business solves for the customer
- I can rattle off the history of the business and how its changed over time
- I know why businesses fail in the industry
- I can say why this industry will be going strong in 10 years
- I can list the KPIs this industry follows
- I can list the key risks the business takes in this industry
- I can describe the critical parts of this business model
- Its easy to convince customers to buy
- Customers love or need the company
- Suppliers love or need the company
- I know the competitive advantage of this business
- I know why the competitive advantage is durable and intrinsic

There must not be a single question you cannot answer about your company...like seriously

Don't be afraid to call investor relations!

MEANING

Capable of understanding the business:

- Keep it simple
- Know where revenue is coming from. Explain it in one concise sentence
- Don't go further if you don't understand it
- Is the company within my circle of influence?
- Are any gurus investing in it too?
- What is my level of confidence in my research of this company?
- Describe the industry and business in one concise paragraph.
- Describe challenges and economic cycles of this industry
- What is the company's plan for growth?
- Will growth peak within 10 years?
- *Know what you know, but more importantly, know what you don't know and stray away from investing activities that are outside your circle of competence*

Have to be okay with what company is doing with your money:

- How do they treat their employees?
- How do they treat their customers?
- How do they treat their suppliers?
- Environmental impact?

You will most likely experience an expensive error in evaluating meaning if:

- The company is on the edge or outside of your circle of competence
- No gurus are buying recently
- Not a business I enjoy studying
- industry/company/product not easy to understand
- Did not do an inversion
- Industry on decline
- Unfriendly union(s)
- Demand for product in 10 years will be uncertain
- Uncertain company will be more productive in 10 years
- Industry rate of change is high
- Did not read 10K's going ten years back (especially the footnotes)

Are you okay having this company be the only asset you and your family owns of the rest of your lives?

MOAT

Moats let us know if the company will be more profitable in ten years

Competitive Advantage: look for a company that sells a unique products or service, or are low cost buyers and sellers of unique products or services. These products or services need to be almost essential to surviving in modern society

- Creating a consistent products that doesn't have to change equates to consistent profits

- Best companies to buy create their own niche
- Competitive advantage must be 'intrinsic' and built into the very structure of the company

Mature companies that have had time to build their moats and don't have to change very much to adapt to competitors

Types of moats:

- Brand moat → when company name is synonymous with what it offers
- Price → buys its goods at lowest price, then sells them for lowest price to consumers
- Secrets → IP, patents, trademarks, proprietary info, trade secrets
- Toll bridge → basically a monopoly, consumer MUST go through them to get what they want
- Switching → would be a hassle to switch to a different company's products or services
- Network → When a company has a network that allows people to communicate/share ideas

Look for 10K or 20F (foreign) financial statements

- Business section is typically where you can find info on competitive advantages
- Read backwards, most of the ugliest parts of the reports are in the back in the footnotes
- Investigate whenever you see the words "capitalized", "deferred", or "restructuring"

Look for companies with multiple moats, which ones does this company have?

How hard is it to compete with this company? Compare this company to its competition, ask yourself, why will they win in the next decade? What protects this company from its competition?

Ways that competition may breach the competitive advantage of your company:

- Doing the same thing but cheaper
- Creating a product/service that will eliminate the need for the ladder

What is the future growth rate and is it increasing or decreasing? Why?

Is there enough total addressable market space to continue growing for the next 10 years at the rate they are?

Study the industry when looking at growth rates. Ask yourself, if this company's future projections a realistic assumption to make?

Does the company have enough cash flow to last several years if it loses money?

How were sales and earnings in the last recession?

How does cash from financing activities compare to cash from operating activities? Avoid companies that produce more cash from financing vs operating

Is the company receiving revenue from a diversified clientele?

Does the company put some (not too much) money into R&D?

Read previous 10K's to see if company fulfilled its goals before. Read 10K's 5-10 years back and 10Q's at least a year back

Read articles about company from different sites (read BOTH bull and bear cases). Ask yourself, do you know more than the analyst writing the bear case?

Has this business proven that they are antifragile and can raise prices as costs increase?

Growth rates in order of importance: (are they moving in parallel? Why or why not?)

1. ROE
2. EPS
3. Sales
4. Cash flow

How to identify loss of a moat:

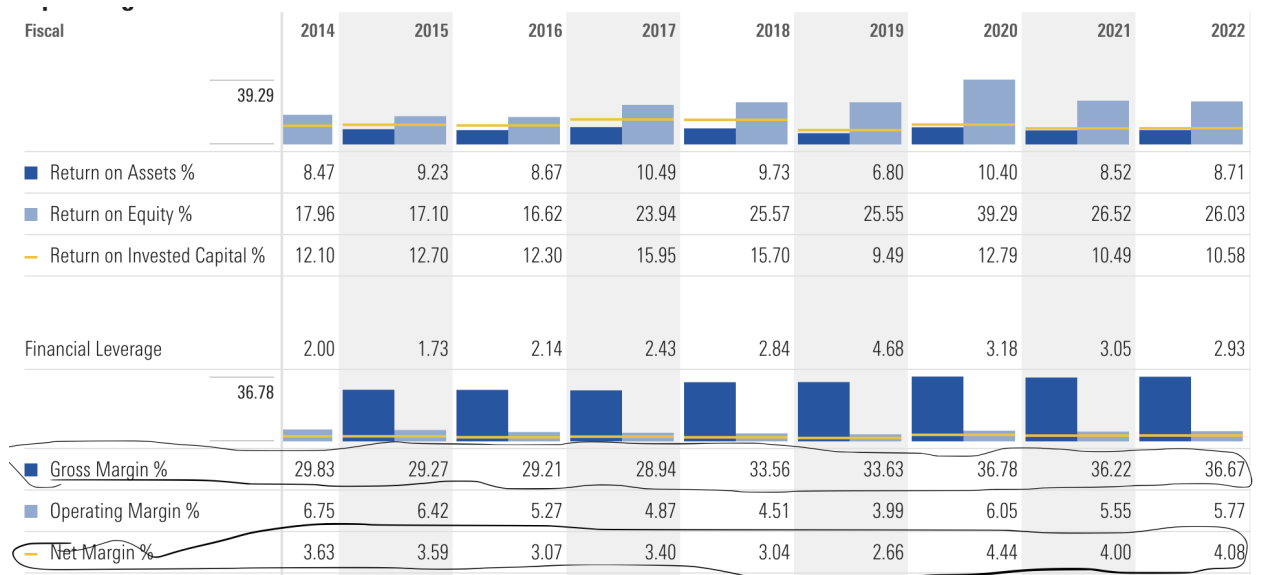
- Other competitor replaces business in marketplace with better product/service
- Inside traitor → CEO has selfing interest

INCOME STATEMENT:

General rule (with exceptions): gross profit margin of 40% or more might be a sign of a durable competitive advantage. Companies that have this level or higher can also be stripped of competitive advantage by high operating expenses

- Gross margins just north of 30% past 10 years
 - Kroger is around 20%
 - Whole Foods a little north of 30%
 - Trader joes mid 20's
 - Costco is around 12%

Does the company have consistent and/or consistently growing gross margins?



- Stayed consistent and increasing overtime
-

Are net margins high or low? 10% or higher is generally good and 20% or higher is generally really good)

- They are low for grocery industry (industry avg 1%-3%)

Does it consistently not have to spend a lot on R&D?

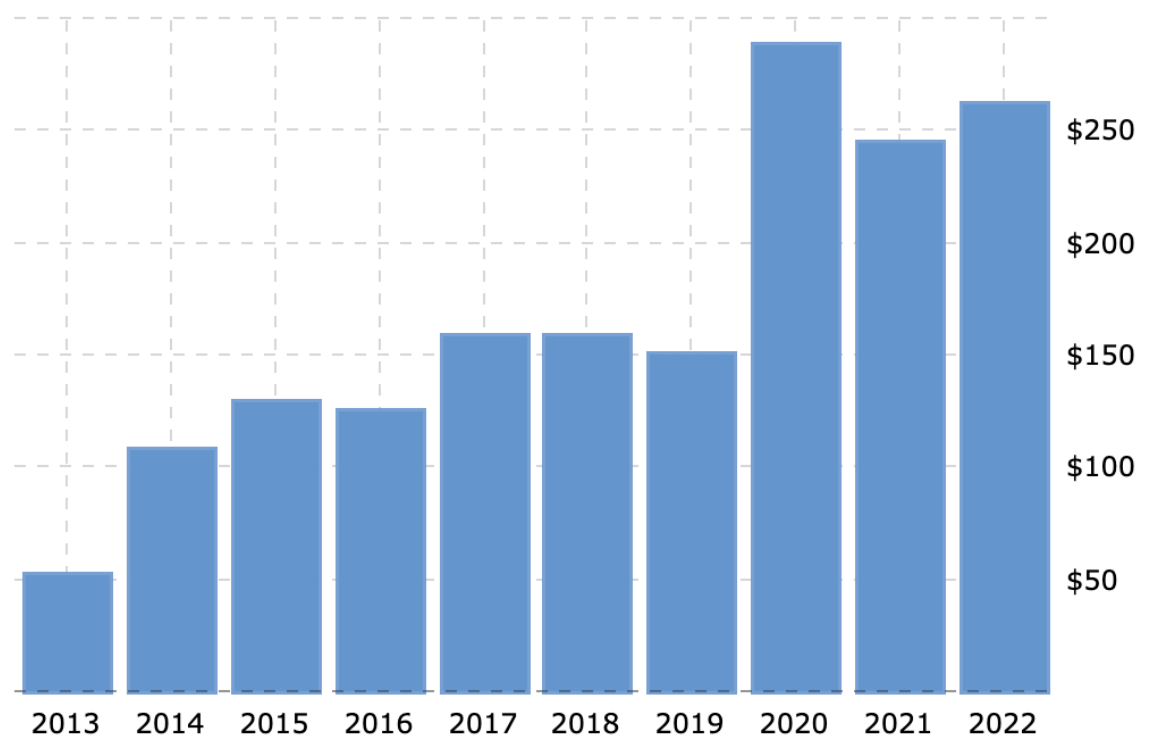
- Sprouts does not have to spend anything on R&D

Does it consistently grow its earnings?

- Kinda, in 3-ish year cycles (why is it so cyclical?)
 - Typically most profit in first quarter, and trails downward for rest of year (new years resolutions maybe?)

SFM - Net Income

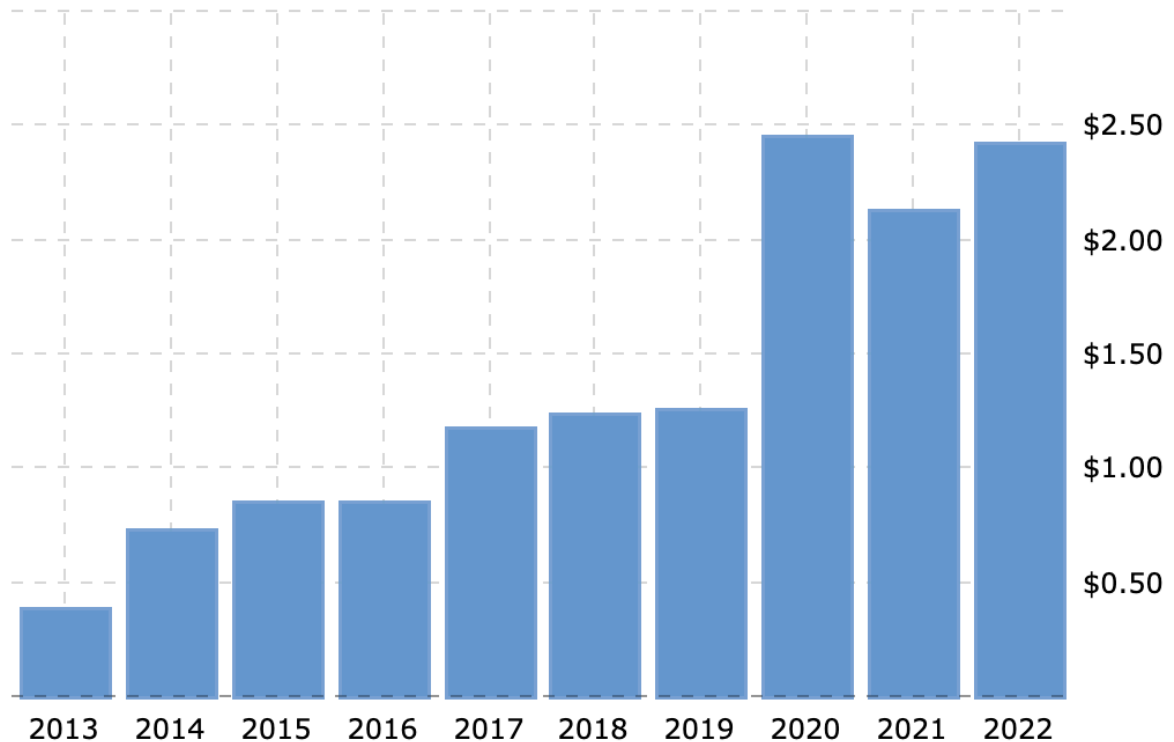
Annual Values (Millions of US \$)



Be weary of EPS increasing while net earnings is not

SFM - Basic EPS

Annual Values (US \$)



- EPS and net income following the same trend

Causes for decreased EPS/cash numbers:

- New CEO
- Going through an event

Be weary of a company that reports a different income tax paid figure than what they actually paid. You can check in the SEC filings by finding the pre-tax earnings and subtracting the corporate income tax from that and comparing this figure to what they reported on financial statements

The net gain or (loss) on assets and “other” category are non-recurring so they should be subtracted or added to the net earnings to more accurately reflect the core business

- Adding back in irregular income(expenses) doesn't change much

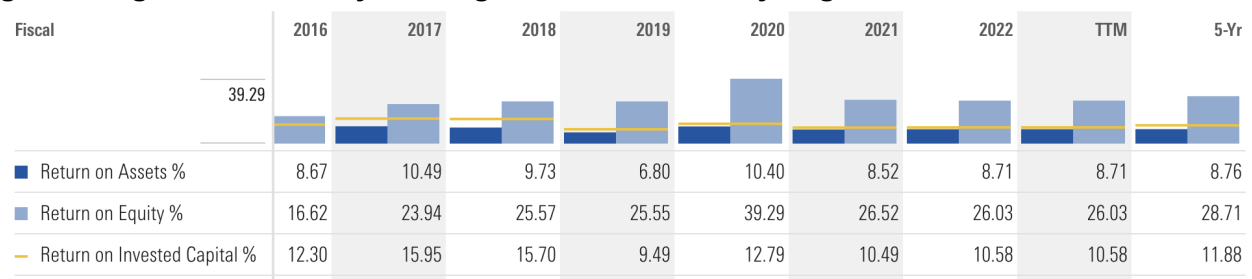
EPS should show slow and consistent growth over a ten year period. Erratic EPS show that a company is in a fiercely competitive industry. Factors that affect EPS:

- “Special charges” in income statement
- Changes in income taxes

- **Dilution factor**
- **Use of accelerated depreciation vs straight line depreciation (sometimes things that are on an accelerated depreciation are not actually depreciating that fast. It is in their best interest to take it off their books so they don't pay taxes on it)**

SFM shows some erratic EPS growth, however long-term growth is there. Semi-erratic growth seems to be typical of grocery industry (Kroger's net income growth chart looks much more erratic)

A company that does not pay a dividend should be using the excess cash wisely. Where is this cash going and what has it produced in the past few years? Is management really generating a better EPS by utilizing the dividend money to grow?



ROIC remaining above 10% (although a little erratic)

ROE remaining above 20%

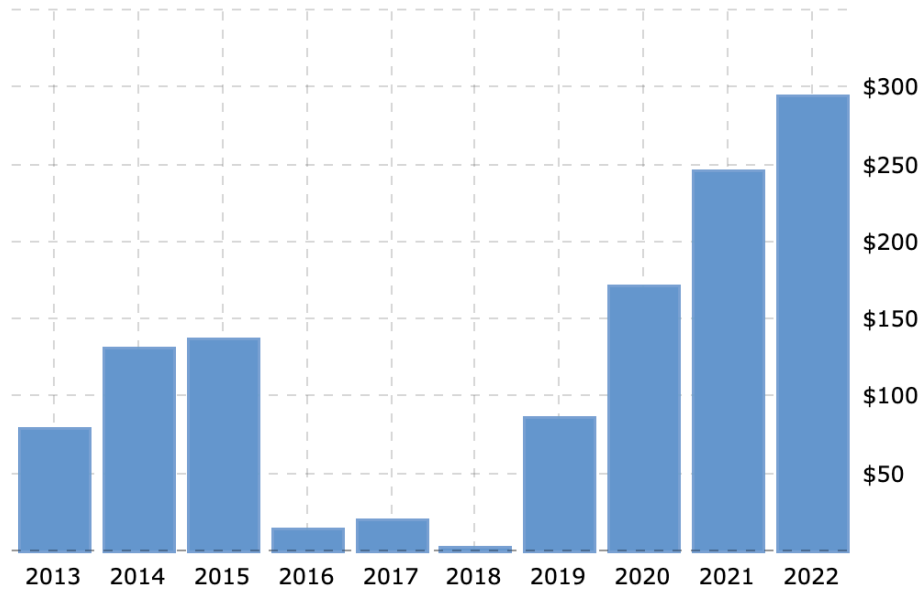
I think it's safe to say they are allocating the remaining earnings well by opening new stores and investing into their distribution network

BALANCE SHEET

A company with a competitive advantage will often have 7ish years of surplus cash and be consistently adding to the surplus

SFM - Cash on Hand

Annual Values (Millions of US \$)

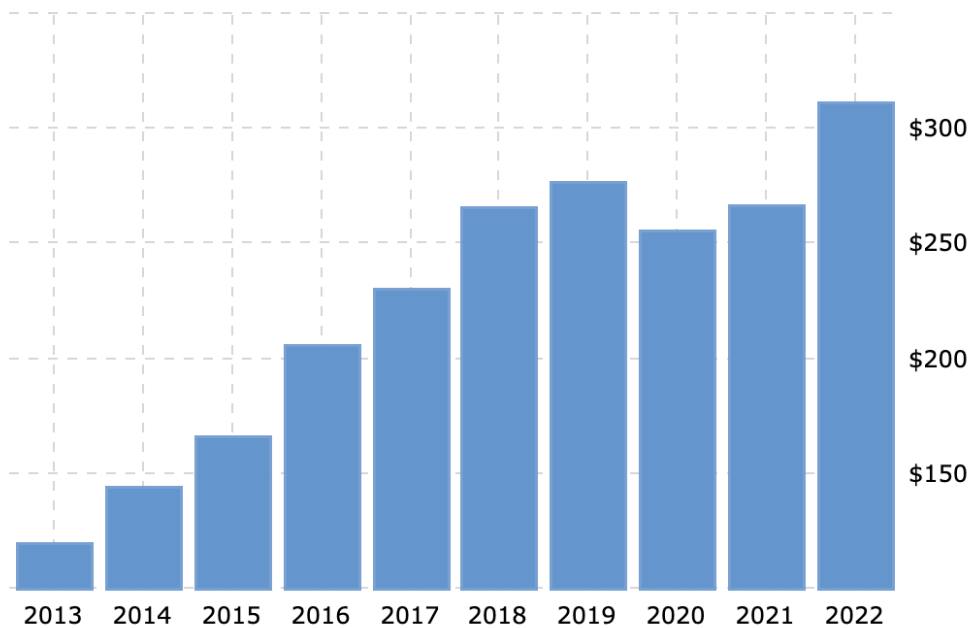


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- Lower in 2016-2018/2019 b/c they used up their cash to buyback stock
- Overall, looks good though

Inventory should be slowly but consistently increasing showing they are producing more as a result of more sales

SFM - Inventory

Annual Values (Millions of US \$)



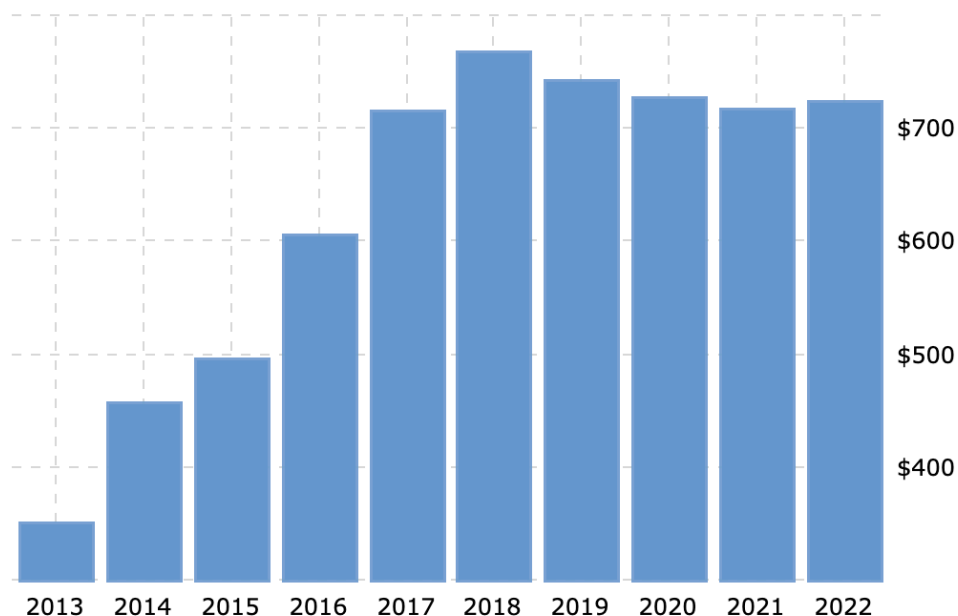
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Net receivables a good indicator of a company in comparison to its industry. Avoid companies with high net receivables but low sales. If a company is consistently showing a lower % of net receivables to sales, it usually has some kind of moat

- 10 year net receivables to sales ratio is 0.45%

PPE: company is constantly increasing its PPE is usually in a fiercely competitive industry. Also make sure that your company is buying PPE, if any, with surplus cash rather than financing and going into debt. A company with a strong moat doesn't have to update its PPE until it wears out (not often)

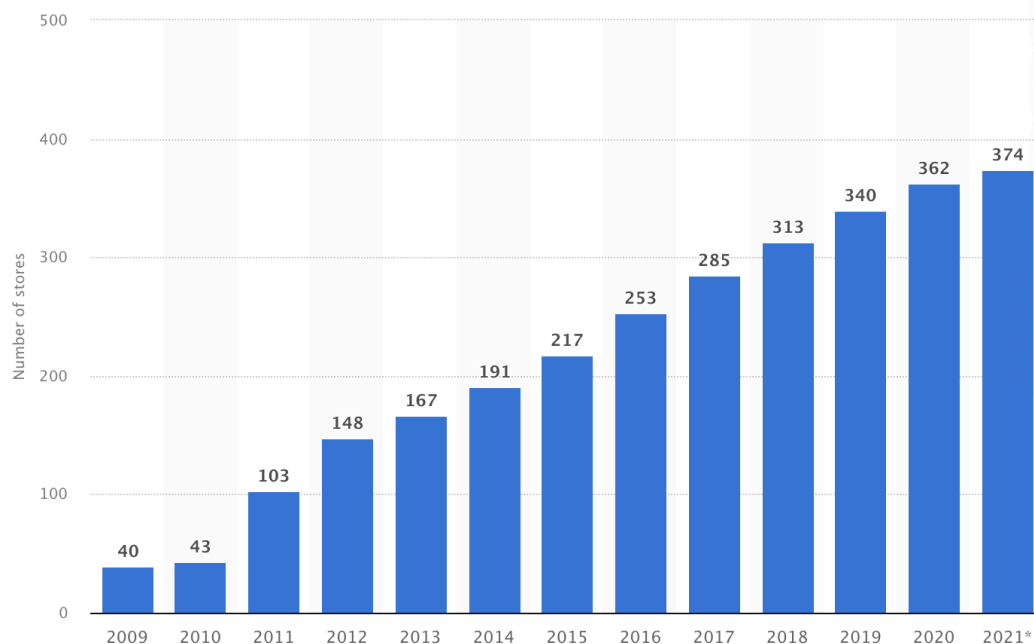
SFM - Property, Plant, and Equipment
Annual Values (Millions of US \$)



-
- PPE steadily increased until 2018 caused by a change in accounting principles surrounding lease obligations (see below)

	As Of	
	December 29, 2019	December 30, 2018
Land and finance lease assets	\$ 15,753	\$ 162,084
Furniture, fixtures and equipment	666,050	579,673
Leasehold improvements	589,211	473,728
Construction in progress	48,311	33,813
Total property and equipment	1,319,325	1,249,298
Accumulated depreciation and amortization	(577,817)	(482,869)
Property and equipment, net	\$ 741,508	\$ 766,429

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- The change in accounting allowed them to reclassify a significant portion of their leases from finance leases to operating leases, which takes it off of the 'PPE' section and into 'Operating lease assets, net' on the balance sheet which is non-GAAP



-
- Store count has been steadily increasing thus they are indeed increasing their PPE significantly still
 - They lease their stores

Higher assets means more depreciation

Intangible assets: buy companies that are big name and have the “intangible-ness” built-in

- Sprouts has a brand moat which allows a huge level of intangible-ness
- Intangible assets hovering around 500M for the past ten years (for reference Kroger has much more intangible assets. Slowly increasing from 5B to around 7B over the past ten years)

Long term investments: make sure if your company is buying other companies that they are other companies with competitive advantages

- Sprouts made acquisitions of Henry's Farmers Market (43 stores in 2011) and Sunflower Farmers Market (39 stores in 2012) both health focused grocery stores

ROA: high % is good but too high a % could indicate that assets aren't big enough. The “price to enter the market” (total assets) must be high enough to prevent other companies from raising enough money and competing

- 5 year avg ROA 8.76% (lower because they have a lot of stores and thus assets)
- Industry avg is anywhere from 3% - 7%

Long term debt due too much can be bad for a company that isn't solvent enough to handle it. A lot of long term debt usually scares investors away, so it can be a good time to buy given that a company has enough cash to handle it

- They can pay back debt in less than one year of earnings, and even less than one year of free cash flow

If there is debt check if it is fixed rate or variable. Fixed is better as long as the rate is low. The footnotes of the balance sheet is a good place to find this.

- The interest is of SOFR term (April 2023 4.8%) which is variable

Long-term debt should not exceed working capital

- It does exceed working capital but not overall capital (typical of grocery business)

Debt should not exceed twice the book value

- Debt is a quarter of book value

Debt should be able to paid off with 3 years or less of free cash flow

- Can be paid off with one year of free cash flow

Debt to equity ratio: great companies often show high DTE ratios because they have little shareholder equity because of buy backs. A better representation of equity is a treasury adjusted debt to equity (lower than one is ok, 0.8 is great, lower the better)

- Since 2013, company has spent \$1.3B in buybacks
- Adding that back into 2023 equity (to get treasury adjusted equity) results in treasury adjusted equity of \$2.4B
 - Treasury adjusted debt-to-equity ratio of 0.85 (for comparison Kroger treasury adjusted DTE is 1.24, Costco is 1.8)
 - Non-adjusted is 1.93

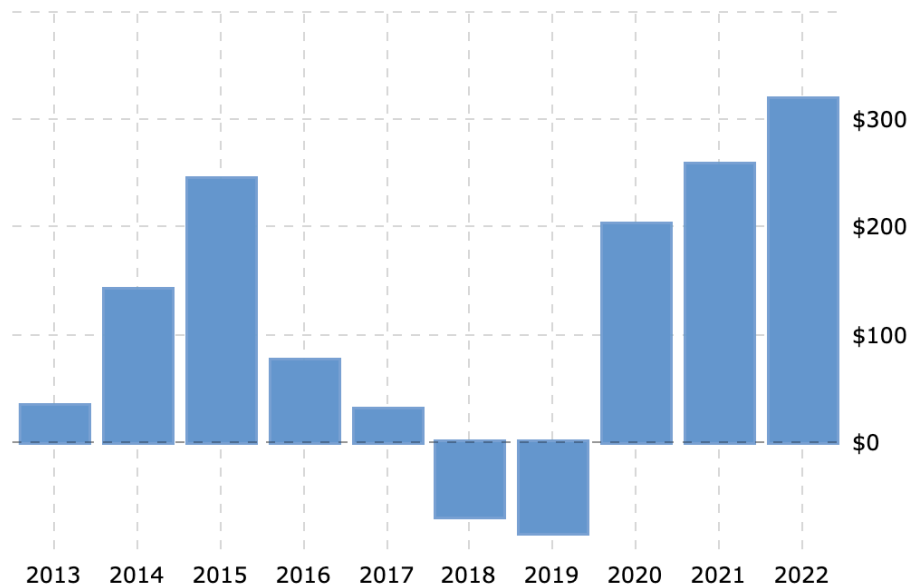
Usually companies with strong moats don't have a lot, if any, preferred stock because it is expensive money for company to offer

- They have no preferred stock

The more earnings a company retains on the balance sheet, the faster it grows its retained earnings pool, which should increase growth rate of future net earnings. Find companies that consistently add to retained earnings

SFM - Retained Earnings (Accumulated Deficit)

Annual Values (Millions of US \$)



-
- Growing semi-consistently over the long-term
- Went negative 2016-2019 because they were buying back more shares than they could afford
 - Only negative because it's in reference to earnings and not free cash flow (which is higher and they did not borrow money to do so)

The presence of treasury shares and a history of buying back shares is a good indicator of a moat. To find out if a ROE is a result of financial engineering or great business economics, add the treasury stock to equity and make the same calculation to compare deviation

- They buy back shares almost every single year, anywhere from \$100M-\$250M worth of it
- 5 year avg treasury adjusted ROE = 11%
- 10 yr avg treasury adjusted ROE = 11%

High ROE means a company is making good use of earnings it is retaining. Sometimes great companies can have negative net earnings because they don't retain any income. These companies can still have a competitive advantage if and only if they also have a consistent history of increasing net earnings

Profitability of a company is measured by return on sales and return on equity. Look for companies that are more profitable than their competitors in addition to being more massive

Avoid companies that use leverage to generate earnings because it is inherently risky in nature

Debt:

- Prefer to have none, but if a company does have some (or alot) but everything else about the business is operating just fine, research why they do and how they will pay it back eventually
- Look into their long term debt compared to their competitors. Why are they different?
 - Kroger has debt-to-earnings ratio of 6
 - Costco has debt-to-earnings ratio of just over 1

Does management's investment of their retained earnings appear to have increased the overall earnings?

- Earnings in 2013: 51.3M
- Earnings in 2022: 261.2M
 - Delta = 209.9M
- Sum of retained earnings during that period: 1,156.4M
- Return: 18.2% on their retained earnings. Pretty good!

STATEMENT OF CASH FLOWS

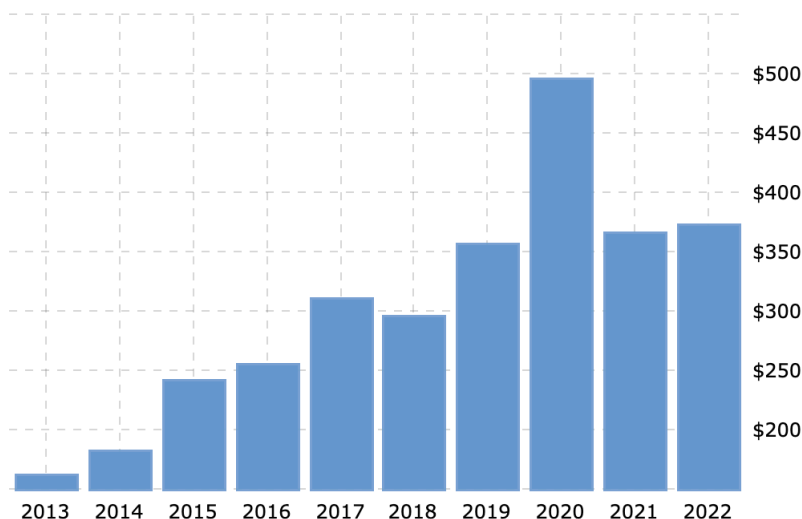
Make sure capital expenditures to net earnings is low. Add up total capex over a ten year period and add up total net earnings over a ten year period and divide capex by net earnings. 50% or lower is good and 25% or lower is great.

- 10 yr capex/10 yr net income is 82% (Kroger is 147%, Costco is 84%)
- 10 yr capex/10 yr operating cash flow is 47% (Kroger is 68%, Costco is 47%)

Make sure cash from operating activities is consistently growing

SFM - Cash Flow from Operating Activities

Annual Values (Millions of US \$)



Cash flow was so high in 2020 due to: selling out their inventories from high demand, the absence of store closure costs, and an increase in payables (which increases cash)

***You will most likely experience an expensive error when evaluating moat if*:**

- **Moat is not intrinsic**
- **Moat is not durable**
- **Moat is not being widened over time**
- **EPS growth solely by stock buybacks to lower outstanding shares**
- **Big four numbers are not growing (especially if book value, in particular, if not growing)**
- **Owner earnings and free cash flow is not predictable**
- **Cheap foreign competition getting stronger but hasn't reached US industry yet**

MANAGEMENT

1. Management have a clearly defined growth strategy and are delivering on it
 - a. **Win with target customers:** go for 'health enthusiasts' and 'selective shoppers' and expand omnichannel experience with delivery or pickup through Sprouts app
 - b. **Refine brand and marketing approach:** Telling brand story rooted in product differentiation through targeted digital ads (instead of print ads to save money)
 - c. **Update format and expand in selected markets:** Drive expansion using smaller store format which should produce stronger returns. Geographic expansion is where target customers live, going for 10% annual store growth starting in 2024 (In the past they have delivered on their hopes of at least 12-14% annual store growth, until recently where they have slipped to 6% and 3% growth in 2021 and 2022 largely due to supply chain issues brought on by the covid-19 pandemic. IT WILL BE IMPORTANT TO WATCH IF THEY CAN HIT THEIR TARGET OF 10% GOING INTO THE FUTURE. 10% for the next ten years would put them at just under 1600 stores in next 15 years. This number is attainable as Whole Foods is currently at 500 and Kroger is currently at 2800. They have done this in the past, over the past ten years they have grown at approximately 10%, from 150 stores to just under 400 in 2022).
 - d. **Create an advantaged supply chain:** Want to have 100% of stores within 250 miles of a distribution center. Right now it is 85%
 - e. **Inspire talent to create best place of work:** inspiring and engaging our talent through our culture, acquisition and development and total rewards program to attract and retain the talent
 - f. **Deliver on financial targets:**
 - i. **Low double digit earnings growth:** past ten years has been 15% avg growth rate. Using an avg 12% net earning growth over the next ten years, that would put them at \$1.4B in 15 years. Growing revenue at a conservative 8% per annum will get revenue to \$20B in 15 years. This number is already very reasonable given that Whole Foods for example is already doing \$16B in sales in 2022; Kroger doing \$32B and Albertsons doing \$71B. Sprouts has also already more than doubled sales over the past ten years)
 - ii. **ROIC expansion:** since the inception of this new growth strategy, they have expanded ROIC from 9.5% to 10.5%. Will keep watch of this)

2. To achieve their financial targets, they have clearly defined certain targets to hit (this was written in 2020):

We will measure the success of our growth strategy against the following long-term targets:

- New store cost to build reduced by approximately 20%;
- New store cash on cash returns of approximately 40%;
- At least 10% unit growth annually, beginning in 2022; and
- Low single-digit comparable store sales growth.

We believe that achieving these targets will generate low double-digit earnings growth.

a.

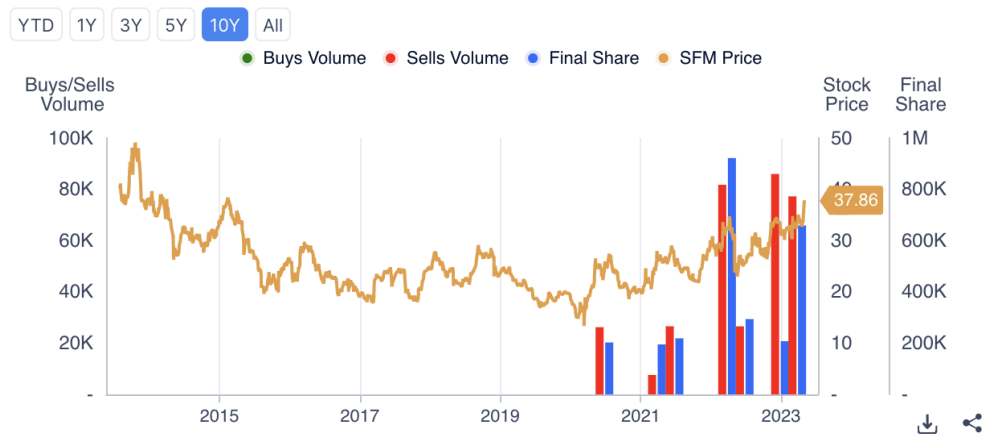
- i. Comparables since this new long-term growth strategy in 2020, 2021, and 2022 were 6.9% (6.7%), and 2.2% respectively. Will be a good thing to watch going forward

CEO: must be shareholder oriented, honest, and passionate. You want them to bleed the corporate colors

Researching the CEO:

- **Letter to the shareholders (is it candid?)**
 - Doesn't have one
- **Interviews/articles**
- **Insider trading (selling anything >30% usually not good)**
 - CEO owns 0.3% of the total shares outstanding
 - Sold 29% of his shares in Dec 2022, but was granted an equal amount back in March 2023

Transaction Summary of Jack Sinclair



- A little concerning that he has only been selling. Does not buy on his own, just relied on stock option grants and RSUs

Does the company have a CEO with integrity?

It seems like he has integrity. Came from a Scottish family, and immigrated here. Only time will tell if he has integrity.

Does management talk freely to investors when things are good AND bad?

- Saw sales and profits decline in 2021 vs 2020. They clearly explained that the cause was an abnormal increase in consumer spending caused by COVID-19

Does the CEO and management have a Big Audacious Goal they are trying to achieve?

Doesn't have a B.A.G explicitly written out in annual reports

- **Are they consistently working towards that goal?**
 - They are working towards their growth plan instead
- **Is the goal specific enough?**
- **Is the goal constantly changing year to year? (this would be bad)**

How did CEO get to the position they are in now?

Jack Sinclair worked as executive VP of US grocery division at Walmart from 2007-2015, then was previously CEO of 99 cent stores. He mostly has experience in grocery for past 30 years

- **Do they vacation a lot?**
- **What do they spend their money on?**
- **What are their values?**
- **Is the current CEO also the founder? If not, what happened to the founder?**
 - CEO from 2012-2015 Doug Sanders. Doug had been with Sprouts since 2002 and ascended his way to CEO
 - CEO from 2015-2018 Amin Maredia. He suddenly left in 2018 to what seems like a surprise to the board. He said he left to 'go pursue other interests', but it is unclear the real reason.
 - Interim Co-CEOs from 2018-2019 Brad Lukow and Jim Nielson (both were high executives in Sprouts before they became co-CEOs)
 - Jack Sinclair from 2019-present
- **How does the board react to new CEOs?**
- **Does the CEO have a significant stake in the company? They should, proving they have a vested interest in the outcomes of the shareholders**
- **Does the CEO report bad news as well as good?**

Numbers that reflect a good CEO:

- **ROE 15% or better**
- **ROIC 15% or better**
- **Debt within 3 years of earning power**

Get to know the board if directors...like really get to know them. Listen to quarterly earnings calls to see how involved the board is in the conversation. Make sure to listen to AT LEAST the last earnings call, preferably more.

- **Who are they?**
- **How did they get there?**
- **Are they owners themselves?**

Do the company executives follow through on their promises (cross-check previous filings to find what their goals used to be and see if they followed through)

Executives are overpaid. How much do they get paid compared to the industry?

Make sure the company doesn't reprice their options for insiders → shows that management only cares about themselves. You can check this in the footnotes about

stock options in 10K reports. “Form 4” found in the EDGAR database shows if an executive is buying or selling option shares

The stock buyback dilution illusion: check to see if the executives are selling their stock option packages and as a result, forcing the company to buy back shares to prevent EPS dilution from their activities. Many executives have a vested interest against raising the dividend rate because doing so would decrease the volatility of their options, making them less valuable! Don't get involved with companies that gives their executives stock option packages that gives them control of over 3% of the company capitalization, this is way too much
Avoid companies that are constantly advertising their stock as a promising opportunity. You can check this in the 8K filings (Q&A dialogue with shareholders)
How happy are its employees?

Is the management buying/selling company stock when it is cheap/expensive? If not they are most likely buying back shares to fulfill their stock option packages

Make sure management isn't stock splitting all the time and advertising it as a 'buying opportunity'

Check to make sure managers are being honest with who the bad managers are. You can find this in the back of annual report where heads of operating divisions are listed and who (and more importantly why) there were any changes

Check to see if any convertible issues are being issued

Read the proxy statements → IT IS EQUALLY IMPORTANT TO KEEP UP WITH QUALITY OF MANAGERS AS IT IS TO INVESTIGATE THEIR INTEGRITY IN THE FIRST PLACE

Invested Capital (according to Intelligent Investor):

- + Total assets
- Cash
- Short term investments and interest bearing current liabilities
- + Past accounting charges that reduced invested capital

You will most likely experience an expensive error in evaluating management if:

- ROE and ROIC are going down
- CEO does not act like an owner
- CEO puts self first
- CEO letter and interviews are filled with F.O.G
- CEO sells more than 30% of their company shares (not including stock options)
- CEO glosses over problems
- CEO selling too much stock at key times
- Company buying stock well above value
- CEO recently replaced (this can be okay as long as you do your research on the new CEO)
- Debt more than 2 years of free cash flow
- Debt increasing (bad debt)
- Loan covenants close to being breached by company

VALUATION

Pick the highest one out of all three(four)

Typically, MOS works for young, growing companies that don't have a whole bunch of earnings

- Growth rate is EPS + BVPS growth rate
- For future growth rate, take average of 10, 7, 5, and 3, years, then the average of that
- Keep in mind that the future growth rate of your company is fluid. It changes quarter to quarter, and year to year. Keep up with it to see how the story unfolds

Payback time works for old companies with a lot of cash flow

A conservatively financed business has common stock which is worth at least half of total capitalization including bank debt

Price no more than 1.5 times net asset value

Price no more than 15 times average earnings over the past 3 years

Price no more than 1.5 times equity/book value unless there is a justified high P/A ratio

Portfolio P/E ratio inverse should be higher than AA bonds yield at the time (bondtalk.com)

Make sure you are getting a lot of book value per share

EQUITY BOND THEORY:

A share is a bond with a premium that is equal to the amount over book value

1. Grow EPS to future value based on earnings and equity growth still with basis on initial principle
2. Divide future EPS by long term corporate interest rates to get future value]
3. Back track using minimum accepted return to get current value

OWNER EARNINGS (RULE 1 WORKSHOP):

- + Earnings (pre-tax)
- + Depreciation and amortization
- + Taxes (only if its a negative number, meaning they pay taxes) *found in statement of cash flows*
- change in receivables (subtract in negative, add if positive) *found in statement of cash flows*
- + change in payables (add if positive, subtract if negative)
- Maintenance fund

= **Owner Earnings**

Multiply owner earnings by 10 = 10 cap price

OWNER EARNINGS (INTELLIGENT INVESTOR):

- + Operating Income
- + Depreciation and amortization of goodwill
- Federal income tax
- Cost of stock options
- Income generated from unsustainable rates of return on pension funds - anything greater than 6.5%
- Maintenance fund

= Owner Earnings

(when finding the maintenance fund, look through the 10K's specifically in the PPE section)

- Use command F for "capex"

PAYBACK TIME:

If you were to buy the whole company right now, how long would it take to get paid back in full based on free cash flow. We typically want 8 years

We use free cash because this is 'real' cash as opposed to earnings which is an accounting number

How to find FCF:

1. Scan income/cash flow statement for outliers. No outliers → use toolbox
2. Outliers → Use excel to eliminate statistical outliers and get a better understanding of free cash flow
 - a. Only delete outliers if you understand the company and you are certain that the normal numbers will return in a few years

Sometimes a more accurate owner earnings figure is one in which the costs of granting stock option packages, non-recurring charges, and income from - if any - pension fund are subtracted from the total earnings. Owner earnings should be increasing at a steady 6-7% per annum

Is ratio of fair value to sticker for the per-share valuation compared to full price valuation the same?

You will most likely experience an expensive error in evaluating valuation if:

- Can't confidently calculate owner earnings
- Pay more than 10-cap price or 8-year payback price or MOS or Equity bond price
- Temporary issues making earnings and/or free cash growth/losses abnormal
- Future growth rates and future P/E estimates not realistic
- There is no event/price drop
- Price dropped but not enough of an event to go on sale
- Events produces significant fear but may not resolve itself in 1-3 years
- Event may permanently damage the core business
- Can't understand the event - its too complex

INVERSION

Check to see if there are any short sellers of your company → google "short _____"

- This is a good way to find an inversion story
- Ask yourself if you know more than the short seller?
- How many shares outstanding are being sold short? Will this drastically affect the price if sold?

Check risk factors in the 10K, ask yourself if any of these will drastically affect the core business
Read competitors 10K and look what their risk factors are. Are they similar to your company's?

Seeking Alpha articles for rebuttals

Consider whether the company has business internationally, especially in CHina

Make a list of all things that can go wrong with the business

- Make a logical, fact based, rebuttal to each point
- Act like you are the CEO
- What can change the future growth rates?
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